

TABLE II
WORKING CAPITAL PER MONTH

1. STAFF AND LABOUR			
Particulars	Quantity	Salary (₹)	Total salary (₹)
Manager (operation and business development)	1	20,000	20,000
Production supervisor	1	17,000	17,000
Clerk/typist/ accountant	1	15,000	15,000
Peon	1	5,000	5,000
Watchman	1	5,000	5,000
Skilled worker	4	8,000	32,000
Semi-skilled worker	4	6,000	24,000
Unskilled worker	3	4,000	12,000
TOTAL			130,000
2. RAW MATERIALS			
Particulars	Indian/Imported	Cost (₹)	
Plastic parts	Imported	280,000	
Plastic moulding powder	Indian	36,000	
Brass, phosphorus, bronze strips	Imported	46,000	
PVC wires	Indian	34,000	
Consumables and packaging material	Indian LS	25,000	
Cost of raw material for 625,000 crimp connectors		421,000	
3. UTILITIES			
Particulars	Average cost (₹)		
Power	8,000		
Water	500		
Total	8,500		
4. OTHER CONTINGENT EXPENSES			
Item	Amount (₹)		
Advertisement	3,000		
Travelling and conveyance expenses	5,000		
Transport and packaging	5,000		
Miscellaneous expenses	1,500		
Postage and stationery	500		
Repair and maintenance	2,000		
Insurance and taxes	2,000		
Rent (per month)	4,000		
TOTAL	23,000		
TOTAL WORKING CAPITAL PER MONTH (1+2+3+4)			582,500

5. Cost of machinery and equipment refer to a particular make/model. Prices are approximate.

6. Break-even point percentage indicated is of full capacity utilisation.

7. Project preparation cost, whenever required, can be considered

under pre-operative expenses.

8. Essential production machinery and test equipment required for the project are indicated. The unit may also utilise common test facilities available at Electronics Test and Development Centres (ETDCs) and Electronic Regional Test Laboratories (ERTLs) set up by state governments and STQC, Directorate of Department of Information Technology, Ministry of Communication and Information Technology, to manufacture products conforming to Bureau of Indian Standards (BIS).

TABLE III
TOTAL CAPITAL INVESTMENT

Total capital investment	Cost (₹)
Fixed capital	1,284,000
Working capital for three months (582,500×3)	1,747,500
Total	3,031,500

TABLE IV
COST OF PRODUCTION PER ANNUM

Financial analysis	Cost (₹)
Total recurring expenditure (582,500×12)	6,990,000
Depreciation on machinery/equipment @ 10%	108,000
Depreciation on office equipment/furniture @ 20%	15,000
Depreciation on jigs/fixtures @ 25%	3,750
Interest on total capital investment @ 16%	485,040
Total	7,601,790

TABLE V
TURNOVER PER ANNUM

Item	Quantity	Rate per unit (₹)	Total sales (₹)
Crimped wire connector	5,000,000	2	10,000,000

Financial analysis

Table I shows fixed capital, that is, land and building, and machinery and equipment. Table II shows the cost of working capital per month.

Total capital investment is given in Table III. Cost of production per annum is shown in Table IV. Turn over per annum is shown in Table V.

$$\begin{aligned}\text{Profit before taxes} &= \text{Turnover per annum} - \text{Cost of production per annum} \\ &= 10,000,000 - 7,601,790 \\ &= ₹ 2,398,210\end{aligned}$$

$$\begin{aligned}\text{Profit ratio} &= \frac{\text{Profit per annum} \times 100}{\text{Sales per annum}} \\ &= \frac{2,398,210 \times 100}{10,000,000} = 23.98\%\end{aligned}$$

EFY

References

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3. www.connectortips.com
4. www.dcmsme.gov.in
5. https://en.wikipedia.org
6. www.indiaonline.com

Disclaimer

The project report may be modified/tailored to suit individual entrepreneurship qualities/capacities, production programs and location characteristics, wherever applicable.